If the nuclear deal underlined the gains of balancing, its aftermath revealed the challenges of that exercise. Balancing requires all major relationships to remain positively in play so that one can be used to make gains in the other. The moment they flatten out, they become a constraint on each other. In 2005, the climate for the nuclear deal was built up carefully through an ambitious Defence Framework, an Open Skies agreement and strong business sentiment. After the nuclear deal, the handling of the civil nuclear liability issue, excessive defence expectations and frictions on the trade side between them dissipated the air of optimism. Combined with the Obama Administration's approach to the Af-Pak theatre and the controversy caused by the unjustified arrest of an Indian diplomat, ties were now dominated by irritants. Arriving in the US in December 2013 to take up the responsibility of an Ambassador, I found myself engaged more in damage control than in consolidating a breakthrough. It took a change of government in New Delhi to create a change of mood. But the lesson really is one of the importance of tending to ties. On both sides.

It was not only the dampening of sentiment with the US that made balancing a difficult exercise by 2014. A very serious structural shift had taken place with the global financial crisis of 2008-09. While the election of Barack Obama created a sense of hope, the retrenchment of American power began with the withdrawal from Iraq and the promise to do so in Afghanistan. With the passage of time, it was evident that the US no longer had the inclination to meet global challenges as in the past. Nowhere was that more evident than in the Asia-Pacific.At the same time, as Ambassador in Beijing after 2009, I was witness first-hand to the growing sense of confidence in the Chinese establishment about its own pace of rise. The change of guard in China heralded a different era, as much for that nation as for its relations with the world. During this very period, India's own ties with China became more complex. Controversies over stapled visas, military contacts and border intrusions all portended a new phase. This was also a time when China's presence in India's immediate periphery acquired greater visibility. While speculation about a possible G-2 between the US and China remained, the reality was that the US now had less to offer and China a greater ask. As events unfolded, political changes in India also brought new factors in play.